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ECONOMIC SURVEYS BY THE OECD

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CANADA

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DECEMBER 1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

CANADA

BASIC STATISTICS

THE LAND

Area (thousand sq. km.)	9,976
Agricultural area (% of the total area)	7.1

Population of major cities (including their metropolitan areas) (1961 census):

— Montreal	2,109,509
— Toronto	1,824,481

THE PEOPLE

Population (mid-1963)	18,928,000
Number of inhabitants per sq. km	2
Population, annual net natural increase (average 1958-62)	373,000
Net rate of annual increase per 1,000 inhabitants (average 1958-1962)	20.9
Labour force, total (June 1963)	6,839,000
Labour force in agriculture (June 1963)	696,000
Immigration (annual average 1958-1962)	96,400

PRODUCTION

G.N.P. in 1962 (millions of Canadian dollars)	40,401
G.N.P. per head (Canadian dollars)	2,176
Gross fixed capital formation per head (Canadian dollars)	471
Gross fixed capital formation as % of G.N.P.	21.6

Origin of Gross Domestic Product:

— Agriculture, forestry and fishing	7%
— Mining and quarrying	4%
— Manufacturing	26%
— Construction	5%
— Services	58%

THE GOVERNMENT

General government current expenditure on goods and services (average 1959-1962, % of G.N.P.)	15
Federal Government current revenue (average 1959-1962, % of G.N.P.)	17
Federal direct and guaranteed debt, % of current expenditure (average 1959-1962, %)	339

Composition of Parliament:

House of Commons		Senate	
Liberals	49%	Liberals	59%
Conservatives	36%	Conservatives	33%
Social Credit Rally	5%		
Social Credit	4%	Independant	3%
New Democrats	5%	Vacant	5%

Last elections : April 1963

LIVING STANDARDS

Food consumption, calories per head per day, 1960-61	3,096
Number of passenger cars in use per 1,000 inhabitants (1960)	230
Number of telephones per 1,000 inhabitants (1960)	322
Weekly earnings (industrial average, Canadian dollars, 1962)	80.6

FOREIGN TRADE

EXPORTS:

Exports of goods and services as % of G.N.P. (Average 1959-1962)	20
Main exports 1962 (% of commodity exports):	
— Newsprint	12
— Wheat	10
— Lumber and timber	6
— Woodpulp	6
— Nickel	5
Main customers 1962 (% of commodity exports):	
— United States	59
— United Kingdom	14
— Other O.E.C.D.	10

IMPORTS:

Imports of goods and services as % of G.N.P. (average 1959-1962)	23
Main imports 1962 (% of commodity imports):	
— Machinery	15
— Iron and Steel	9
— Motors cars	9
— Petroleum	7
Main suppliers 1962 (% of commodity imports):	
— United States	69
— United Kingdom	9
— European Economic Community	7

THE CURRENCY

Monetary unit: Canadian dollar

Currency units per U.S. dollar (fixed rate introduced May 1962)	1,081

ECONOMIC SURVEYS BY THE OECD

CANADA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Ecoconmi Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in December 1963.

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CANADA

1. The emergency programme introduced in June 1962[1] put an end to the speculation from which the Canadian dollar had recently been suffering. Since then, the deficit on current external account has fallen significantly, helped by the devaluation and subsequent price stability, and imports of long-term capital have been resumed. By the end of 1962, the official gold and foreign exchange reserves had been restored to the pre-crisis level. In July 1963, the announcement of the Interest Equalization Tax in the United States led to disturbed conditions on the Canadian foreign exchange market which were quickly overcome with the announcement of the proposed exemption for new Canadian issues. Canada now has to face her longer-term problems—the need to achieve faster growth and fuller employment and to eliminate the large persistent current external deficit.

2. The upturn which followed the 1960-61 recession is still in progress, but underutilisation of resources remains a problem. Although the unemployment rate has fallen from 7.2 per cent in 1961, it was still 5.6 per cent in the first ten months of 1963. The current external deficit, although declining, is still running at an annual rate of about $500 million.

3. The present report reviews briefly the growth and balance of payments problems, discusses the Canadian authorities' objectives and policies for achieving them, and considers recent progress towards a solution.

I. BASIC PROBLEMS

4. In the first decade after the war, Canada experienced a practically uninterrupted period of prosperity. Production, employment and living standards were rising rapidly, with only a minor set-back during the 1953-54 recession. For a time, pent-up demand from the war was an important expansionary factor, and the rise in defence expenditure following the outbreak of the Korean war stimulated the expansion in the early 1950's. In addition, a combination of back-

1. Described in last year's annual review of Canada; c.f. Economic Surveys by the O.E.C.D.: Canada, November 1962.

logs and a high rate of population growth put pressure on requirements for housing and social capital. In the mid-1950's, however, the main driving forces behind the boom were intense demand abroad for the country's natural resources, and the consequential high level of investment therein. Since the areas where these resources were located were usually far from the older industrial centres, their exploitation called for heavy investment in infrastructure and social amenities as well. In the peak year 1957 the ratio of gross fixed investment to G.N.P. reached the high figure of 27 per cent.

5. Unemployment was low by North American standards, averaging about 3.5 per cent of the civilian labour force in the 1950-56 period, although Canada received 1 million immigrants from abroad.

TABLE 1. LONGER-TERM TRENDS

Seasonally adjusted, between short-term cyclical peaks.

	IV 1948 to II 1953	II 1953 to II 1957	II 1957 to I 1960	I 1960 to III 1963[1]
Growth of real G. N. P. (av. ann. rates)	+ 6.0	+ 3.7	+ 2.9	+ 3.4
Growth of real fixed business investment (av. ann. rates)	+ 6.3	+ 7.3	— 4.2	— 0.4
Unemployment (%) —end of period	2.7	4.0	6.4	5.6
—average for period	3.0	4.0	6.3	6.5
Balance of payments—current account[2]:				
—end of period	— 488	—1,664	— 1,116	— 748
—average of period	— 167	— 870	— 1,242	— 863

1. Not peak, but latest quarter for which data are available.
2. Annual rates, millions of dollars, current prices, national accounts basis.

Source: Dominion Bureau of Statistics.

6. After 1957, the expansion of activity slowed down considerably. The resource boom subsided with the change in world market conditions for primary products; exports rose more slowly than previously; business investment expenditure fell sharply (by 17 per cent in volume between 1957 and 1960) and is currently no higher than six years ago. The ratio of total gross fixed investment to G.N.P. fell back to about 20 per cent. Unemployment averaged between 6 and 7 per cent until 1963; last autumn it amounted to 5.3 per cent.

7. The Federal budget exerted a stabilising influence on total demand, partly as a result of the built-in-stabilisers; transfer payments in respect of unemployment benefits rose and slower growth made for less buoyant tax revenues. The effect of the built-in-stabilisers was also supplemented by discretionary action to stimulate activity; Federal Government purchases of goods and services were not an important expansionary factor, but public transfer payments rose considerably, and entailed large Federal budget deficits.

Balance of Payments

8. The paradox of the evolution of Canada's balance of payments since the war is that, although the post-war boom was spear-headed by heavy foreign demand for exports, the deficit of the balance of payments on current account grew steadily to a post-war peak of $1.5 billion in 1959. The current deficit has fallen in recent years, but Canada still depends upon a net import of capital to underpin its balance of payments.

9. There are several reasons for the failure to achieve a breakthrough to a more balanced external payments structure. Demand abroad for the products of the resource industries slackened notably in the late 1950's as the exceptional requirements associated with the Korean war subsided; with slower growth in the United States, estimates of future needs were revised sharply downwards. About the same time world surpluses of agricultural products, and particularly of cereals, which constitute one of Canada's staple exports, re-appeared.

10. By contrast, exports of Canadian manufactured products now began to grow faster than they had done previously; however, it took some time for momentum to develop and for the quantities involved to reach the point where they provided a really important offset to less buoyant demand for primary products. During the 1950's, the diversification of Canada's industrial base had been to some extent handicapped by the prosperity of the resource industries, which forced a high cost structure upon the manufacturing industries and limited their export possibilities. Meanwhile, a substantial proportion of Canada's needs for capital equipment and consumption goods continued to be satisfied from abroad (Table 2).

Table 2. COMMODITY STRUCTURE OF FOREIGN TRADE, 1962

Percentages

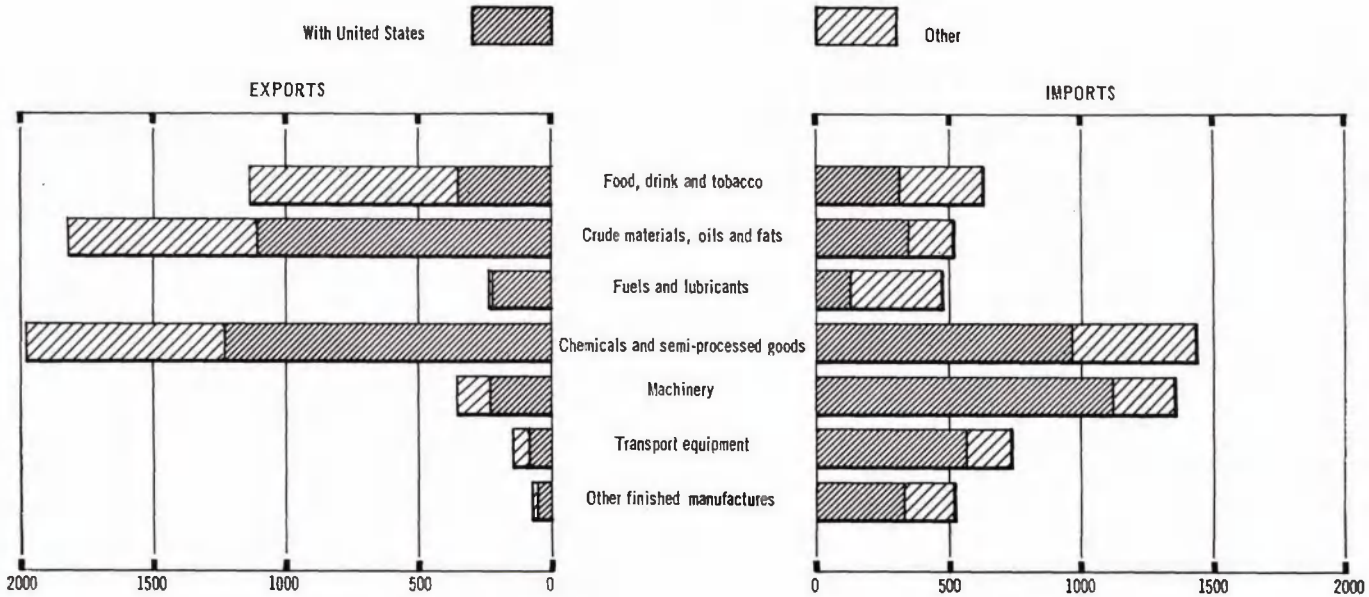
COMMODITY GROUPS	EXPORTS	IMPORTS
Food, drink and tobacco	20	11
Raw materials	31	9
Fuels	5	8
Manufactured products (Mainly semi-finished)	33	25
Finished manufactured products	11	45
of which:		
automobiles and parts	1	9
machinery	6	24
Other	—	2

Source: O.E.C.D. Foreign Trade Bulletin.

Graph 1. STRUCTURE OF FOREIGN TRADE

ANNUAL AVERAGE, 1960-62

In million $



Source : O. E. C. D. Statistical Bulletins, Foreign Trade.

11. Although export demand became less buoyant in the late 1950's, the floating exchange rate for the Canadian dollar did not fall, and thus failed to encourage exports and to discourage imports. The rate was kept up by a large inflow of capital from the United States, prompted in part by higher interest rates in Canada.

12. Moreover, net payments to foreigners—mainly in the United States—of nterest and dividends began to rise sharply. They exceeded $550 million in the early 1960's, or twice as much as a decade earlier.

13. The twin problems of growth and the balance of payments are closely related to conditions prevailing in the United States. Proper understanding of the nature of Canada's problems, therefore, requires some explanation of the relationship betwen the two countries.

Canada and the United States

14. Geography alone suffices to explain the close interpenetration of the two economies. In Canada, a population of 19 million persons is spread unevenly across the north of the American continent with a common frontier of over 5,000 kilometres with the United States whose great industrial and urban centres exercise a permanent pull as sources of capital, as markets, and as examples of living standards.

15. It is not surprising, in these circumstances, that American capital should have played a major role not only in financing but also, through direct investment by United States firms, in organising the development of Canada's industries. In 1959, it is estimated that nearly 60 per cent of manufacturing, 75 per cent of the petroleum and natural gas industries, and 60 per cent of the mining and smelting sectors were under United States control. The value of foreign direct investment in 1961 was about $14 billion and portfolio investment $10 billion, about three-quarters of it United States'. Clearly, only large-scale imports of American capital, and its attendant "know-how", made possible the rapid growth of the Canadian economy after the war. But the fact that United States firms have come to occupy dominant positions not only in the resource industries but also, increasingly, in manufacturing has led to much discussion in Canada of the possible disadvantages of this state of affairs for the future.[1]

16. One result of the close ties between the two countries is the high share of the United States in Canada's foreign trade. The United States purchases nearly 60 per cent of total exports—and much larger shares of exports of pulp, timber, petroleum, natural gas and metals—and supplies two-thirds of Canada's imports. Canada's

1. See, for example, the reports of the Royal Commission on Canada's Economic Prospects, 1957.

trade deficit with the United States widened notably during the 1950's. And, as payments of dividends and interest on United States' capital imports were also rising, the growing current account deficit was heavily concentrated upon transactions with the United States. (Table 3). In 1961, the deficit with the United States on merchandise account was over $600 million and on invisible transactions over $900 million. In the same year Canada ran a current surplus with the rest of the world, made up of a positive trade balance of nearly $800 million and a deficit on invisible account of about half that amount.

TABLE 3. REGIONAL BREAKDOWN OF CANADA'S BALANCE OF PAYMENTS, 1961

	$ million.
With:	
1. *United States:*	
Merchandise trade	— 615
Invisibles	— 933
Current balance	— 1548
Capital balance	+ 1366
2. *Rest of world:*	
Merchandise trade	+ 788
Invisibles	— 384
Current balance	+ 404
Capital balance	— 157
3. *Gold production available for export*	+ 162

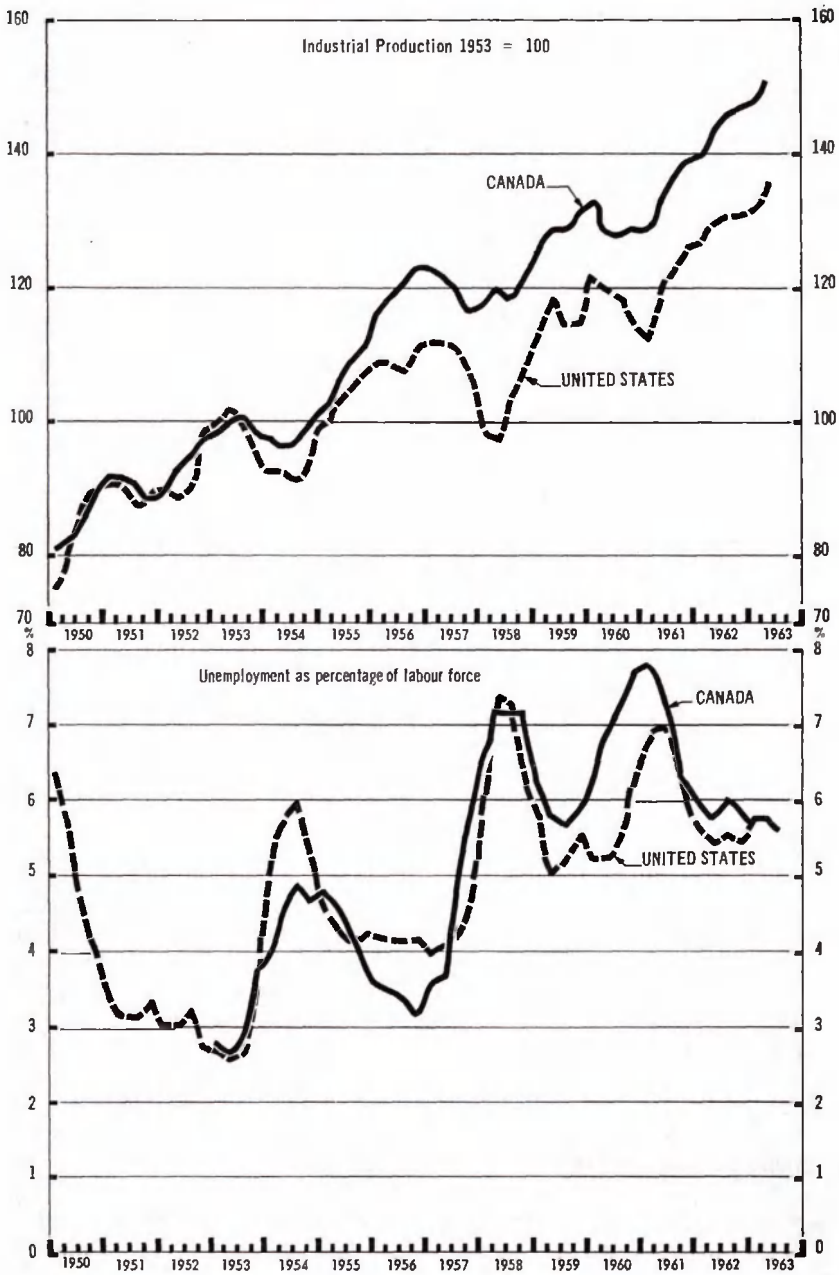
Source: Dominion Bureau of Statistics.

17. The financial and credit mechanisms of the two countries are inter-meshed to a degree unknown in Western Europe. There is total currency convertibility between Canada and the United States. Funds of all types can freely move in and out of Canada in response to changes in relative levels of remuneration or in business sentiment. In addition to a steady flow of funds from the United States to Canada for direct investment and subscriptions to new issues of securities, there is a regular, and usually fairly evenly balanced, two-way traffic in outstanding securities which in some years has exceeded $1 billion in either direction. And, at the short-term end of the market, Canadian banks and other financial institutions operate as freely in the United States as they do at home. As a result, monetary conditions in Canada are highly influenced by conditions in the United States.

18. With the close links between the two countries described in the preceeding paragraphs, it is not surprising to find that the rhythm

Graph 2. CANADA AND THE UNITED STATES : INDUSTRIAL PRODUCTION AND UNEMPLOYMENT RATES

SEASONALLY ADJUSTED



Source : Annual Supplement to Canadian Statistical Review, 1962. Employment and Earnings, US Bureau of Labour Statistics, March 1963. O.E.C.D. General Statistics.

of economic life tends to be the same in Canada as in the United States. Thus, movements of production in the two countries since the war have followed each other very closely, and the period of slower growth in Canada since 1957 is directly related to the weak expansion in the United States.

II. POLICY OBJECTIVES

19. Among the objectives of Canadian economic policy are :

a) Faster expansion, with a sizeable reduction in the present level of unemployment;

b) The progressive reduction and eventual elimination of the balance of payments deficit on current account;

c) Greater participation of Canadian capital in industry;

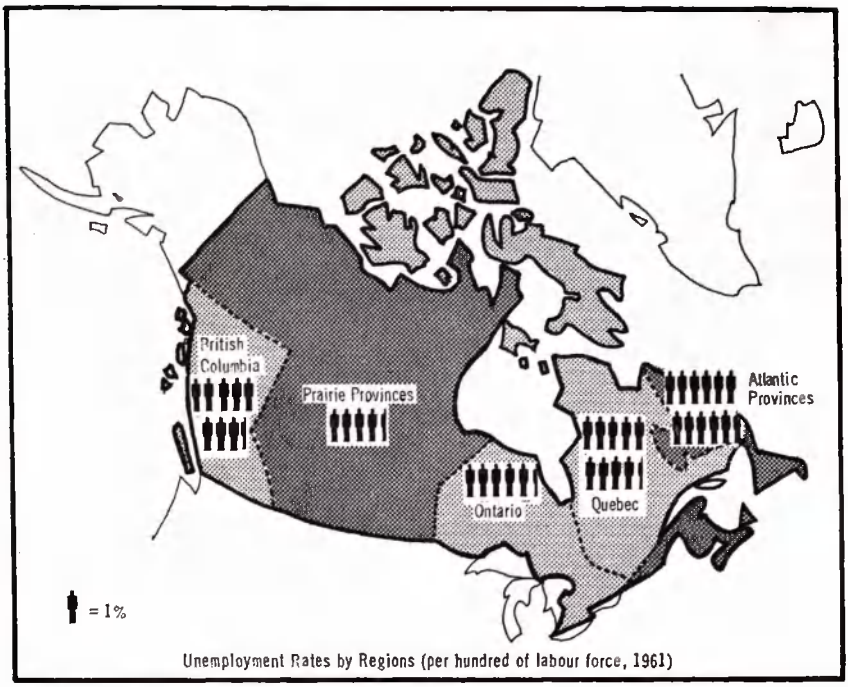
d) A reduction in the Federal budget deficit as production and employment increase.

20. The Government has not set up a quantitative target for the reduction of unemployment. There are important structural aspects of the present high level of unemployment : for example, over 40 per cent of those unemployed did not finish primary school, and there are marked regional differences also : in the Atlantic provinces unemployment is notably above the national average. Nevertheless, despite these structural problems, an improvement in demand would bring about some further reduction in unemployment. As, at the same time, additional workers would be drawn into the labour force if demand improved, there should be considerable scope for expansion before labour market pressures began to develop. In the past, such pressures have begun to appear as the unemployment rate dropped to around 4 per cent. They should be reduced in the future as vocational training programmes and other labour market policies bear fruit.

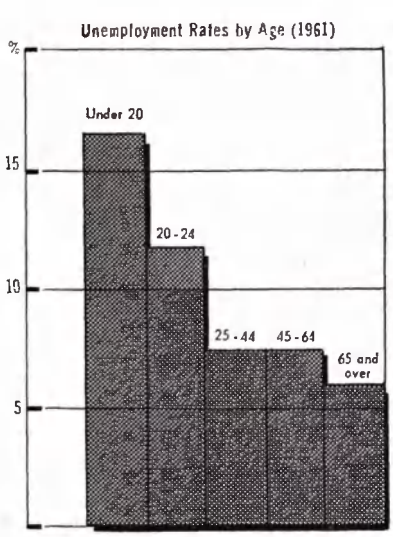
21. The desire to reduce the current external deficit stems from a variety of motives. In the absence of measures to reduce or to remove it, the deficit was likely to continue to grow if only because of the steady upward trend in payments on interest and dividends as Canada's foreign indebtedness continued to increase. The present dependence upon sizeable net inflows of capital to balance the current account deficit exposes the Canadian economy to the destabilising effects of sudden and unexpected contractions in the capital inflow—such as occurred in 1962 and threatened to recur following the announcement by the United States of the Interest Equalization Tax proposal in 1963. Reductions in the current deficit can help to raise demand for Canadian production and stimulate domestic expansion.

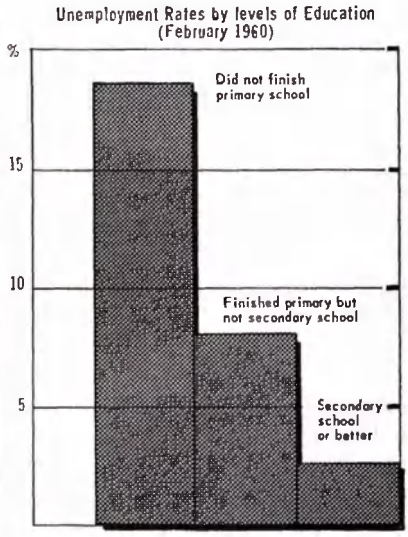
22. The desire to reduce the high degree of foreign ownership

Graph 3. UNEMPLOYMENT



Unemployment Rates by Regions (per hundred of labour force, 1961)





Source : Unemployment in Canada, D.B.S.

and control over Canadian industry cannot be discussed exclusively in economic terms. The benefits derived by Canada from foreign investment have been recognised by the Canadian authorities and have been noted earlier in this report. But the feeling exists in Canada that the predominance of foreign ownership in some important sectors of Canadian industry might result in business decisions being taken which are not in Canada's best economic interests.

23. In Canada, the large and persistent budget deficits of the last four to five years have been looked upon with disapproval by some sections of public opinion. The Government cannot ignore such opinion altogether, particularly when opposition to budget deficits can deteriorate into a loss of confidence in the Canadian dollar. There is also a feeling in Canada that, although the large deficits incurred since the late 1950's undoubtedly bolstered demand and cushioned the impact of a steep fall in private investment, they did not contribute as much as could have been expected to solving problems of growth. It must, however, be borne in mind that an important reason for growing deficits has been the slack demand conditions themselves, and that faster growth should serve to reduce the deficit.

III. POLICIES TO ACHIEVE THE OBJECTIVES

24. The Canadian authorities aim at solving the growth and balance of payments problems simultaneously. Thus, to stimulate the economy, they are relying mainly on measures to reduce the current external deficit. But to the extent that other objectives permit, fiscal and monetary policies are also being directed towards faster growth.

Fiscal Policy

25. In the 1963-64 fiscal year[1] the public finances are exerting only a moderate overall stimulus to demand. The Federal Budget deficit (in national accounting terms) is expected to be of the same order of magnitude as in 1962-63 when it was $374 million. But it is likely that provincial and municipal governments will raise their expenditure at a fairly rapid rate, helped by transfer payments from the Federal budget.

26. A prudent policy as regards the overall budget deficit this year does not exclude the active use of changes in specific items of federal expenditures. Recognition of the structural aspects of unemployment led to the vote, in 1960, of a Vocational Training Programme designed to give unskilled workers the opportunity to take on more qualified jobs. Budget allocations for this purpose are rising sharply.

1. The fiscal year begins 1st April.

This winter the Government is also offering grants of up to 50 per cent (with a ceiling of $75 a month) of wages paid to workers over 45 years of age who are taken on and provided with on-the-job training. And efforts are being made to even out seasonal unemployment swings in the construction industry.

27. To deal with the problem of regional imbalance, the Federal Government is also offering a range of fiscal incentives (exemption for 3 years from the corporation tax and the possibility of claiming accelerated depreciation for investment expenditure) with a view to encouraging private industry to move into 35 high-unemployment areas.

28. A more comprehensive scheme to promote investment in public works involves the Municipal Development and Loan Fund, whose creation was announced last June. The Fund will have a capital of $400 million, subscribed by the Government, and will make loans on advantageous terms to local authorities that agree to increase the volume of their investment programmes. Where projects are completed before 31st March, 1966, 25 per cent of the loan will be converted into a direct grant.

29. Flexible use of fiscal policy in Canada is not only rendered difficult by a widespread desire to bring the period of substantial deficits to a close. It is complicated by the fact that the Federal Government is directly responsible for only about 40 per cent of the total expenditures on goods and services of the public sector, and that much of its share is devoted to items such as defence expenditure and interest payments on the public debt which offer little scope for manipulation for demand management purposes. On the revenue side, the Federal share is higher, about 60 per cent, but is due to decline as the provincial governments increase their rates of direct taxation. This is one consequence of the ending in 1962 of the "tax-rental" scheme, under which the provincial governments—except the Province of Quebec—has agreed to "rent" to the Federal Government the direct taxation powers, covering three of the direct tax fields which, under the Constitution they share with the federal government. Under the new arrangements which cover the fiscal years 1962-63 to 1966-67, the federal role is more limited as far as the provincial share of the direct taxes is concerned. The federal government collects provincial personal and corporation income taxes for the provinces which so choose and at rates set by the provinces. A standard abatement applies to the federal taxes and if the provincial levies do not exceed these standard rates, the combined burden of federal and provincial taxes is not increased. The standard rates of abatement for the first year of the arrangements were 16% of the federal personal income tax, 9% of the taxable income of corporations, and 50% of the federal estate tax. Furthermore, provision was made for an annual increase in the provincial share of personal income tax so that the

abatement rises from 16% at the beginning to 20% at the end of the period. The provincial share can, of course, be increased even further if the provincial governments levy taxes in excess of the standard rate of abatement, an action which four of the provinces have taken.

Monetary Policy

30. To maintain a flow of capital from the United States to Canada generally means that Canadian interest rates must be somewhat higher than those in New York. Bank rate in Canada was reduced in steps from its crisis level of 6 per cent in June 1962 to 3½ per cent on 6th May. But on 11th August, following the rise of one-half a percentage point in July in the United States Federal Reserve System's discount rate, and the announcement of the proposed United States Interest Equalization Tax, the Canadian rate reverted to 4 per cent.

31. The joint communiqué published by the Canadian and United States Governments on 21st July last, announced that the draft legislation regarding the scope of the Interest Equalization Tax to be submitted to Congress would contain an exemption for new issues of Canadian securities in the United States. The communiqué further stated that "it would not be the desire or intention of Canada to increase her foreign exchange reserves through the proceeds of borrowing in the United States". Since it is not envisaged that administrative measures would be used to implement this agreement, the Canadian monetary authorities will have to be prepared, if necessary, to adjust interest rates so as to keep the inflow of capital in step with the trend in the current balance of payments.

Price Policy

32. In recent years, when there has been a good deal of slack in the economy, Canadian costs and prices have been very stable. Import prices rose by the full amount of the devaluation; but the effect on internal prices was less than the fairly large share of imports in G.N.P. (16 per cent) might have supported. A more difficult task may be to prevent the hoped-for sizeable fall in unemployment from exerting renewed pressure on costs, as happened during the early 1950's. It may occur that, as demand improves and unemployment declines, some renewed pressure on costs will appear. An important aim of policy will then be to ensure that this does not lead to a deterioration of Canada's international competitive position.

33. The wage bargaining machinery in Canada is highly decentralised; only one-third of the labour force is unionised, wages are normally determined by 3,000 to 4,000 individual bargains, and many bargains are traditionally linked to agreements in the United States. In addition there are significant differences in regional wage levels.

The efforts now being made to reduce the regional spread between unemployment levels and the results of the Vocational Training Programme will help to give more flexibility to the labour supply and to push back the stage at which bottlenecks begin to appear. However, when the margin of unused resources is substantially lower than at present, the need for further measures to promote price stability could arise.

TABLE 4. PRICES AND EARNINGS

Indices : 1959 = 100.

	1960	1961	1962	1963			
				I	II	III	IV
Consumer prices	101.2	102.2	103.4	104.5	104.7	105.7	105.8[1]
Wholesale prices	100.1	101.1	104.0	105.3	105.9	106.4	106.8[1]
Average hourly earnings in manufacturing	103.5	106.4	109.3	112.2	113.4	112.8	
Import prices	101.0	104.1	108.8	111.0	112.7	114.4[2]	

1. October-November.
2. July-August.

Source: O.E.C.D. General Statistics, and Dominion Bureau of Statistics.

MEASURES TO IMPROVE THE BALANCE OF PAYMENTS

34. The basic policy measure in this field was the devaluation of the Canadian dollar, followed by the adoption of a fixed rate in May 1962. The change in relative prices in Canada and abroad has already had an effect upon exports and imports. Import prices have risen by the full amount of the devaluation since the exchange rate began to fall in 1961, but export prices have risen by less than half that amount so that, in terms of foreign currencies, there has been a decline. But if this stimulus from the price mechanism is to continue to operate, Canada's prices will have to remain competitive.

35. In addition, the Canadian authorities are seeking improvements in their balance of payments through administrative action to influence specific items of the balance. Thus, it is suggested that the trade deficit on account of automobiles, and components for them (at present $500 million a year), could be improved through arrangements to remit payment of duties on imports of vehicles and parts by Canadian firms to the extent that exported Canadian content of vehicles and parts are raised above their level during the twelve months ended 31st October 1962. Also, the Canadian authorities, reversing their previous attitude, have decided to permit the export to the United States of electric power of which Canada has a considerable surplus over current needs.

36. As regards direct investment, the June 1963 budget introduced a reduced rate of withholding tax (10%) on dividends paid to non-resident shareholders where companies achieved a degree of Canadian participation in their ownership and direction, and an increased rate of withholding tax (20%) where they did not. To meet the ownership test, either at least 25% of the voting shares of the corporation must be owned by Canadian resident individuals or corporations controlled in Canada, or the voting shares must be listed on a Canadian stock exchange and no one non-resident person alone or in association with another related person may own more than 75% of the voting shares. The 10% rate applies immediately; the 20% rate does not apply until after 1964 and any tax levied in excess of 10% will be refunded to shareholders of a corporation that qualifies before 1967. A budget proposal to levy a tax of 30 per cent upon sales to non-residents of large blocks of shares in Canadian companies was withdrawn shortly after its introduction and was not enacted.

IV. CURRENT TRENDS

Output and Demand

37. Following some slackening in the course of the latter months of 1962, economic activity has moved up somewhat faster during

Table 5. RECENT DEMAND CHANGES

Quarterly changes, in millions of constant (1957) dollars, seasonally adjusted

	1962		1963		
	III	IV	I	II	III
Gross National expenditure	+ 364	+ 184	+ 600	+ 264	+ 344
of which:					
Private consumption	— 44	+ 352	+ 400	+ 72	+ 360
Government expenditure	— 112	— 120	+ 208	— 80	+ 56
Residential construction	+ 32	— 28	— 32	+ 56	—
Non-residential construction	— 88	+ 44	+ 8	+ 72	— 72
Business expenditure on new machinery and equipment	+ 148	— 16	— 4	+ 36	+ 88
Inventories: Farm	+ 120	+ 68	+ 144	— 4	— 4
Non-farm	+ 444	— 604	— 88	— 112	+ 248
Exports of goods and services	— 52	+ 156	+ 8	+ 492	— 100
less: Imports of goods and services	— 44	— 280	+ 104	+ 196	+ 220
equals change in net imports of goods and services	— 8	+ 436	— 96	+ 296	— 320
Residual error	— 128	+ 52	+ 60	— 72	+ 8

Source: Dominion Bureau of Statistics.

1963. In the third quarter, the gross national product was over 4 per cent higher than in the last quarter of 1962, with an increase in real terms of over 3 per cent. In the autumn of 1963, industrial production was rising at a seasonally adjusted annual rate of about 6 per cent. Exports and Government expenditure have been the most dynamic element of demand in 1963. Investment demand has not risen much, and the reduction in the external deficit on goods and services, an important expansionary factor following the devaluation in 1962, showed little change in the first half of 1963. It may be noted, however, that movements in the external deficit between the last half of 1962 and the first half of 1963 were affected first by the imposition, then by the lifting of temporary import surcharges, the last of which were removed on 1st April, 1963. Private consumption has risen in line with non-consumption expenditure.

38. But the expansion has not made much impact on the relatively high rates of unutilised resources. Employment has risen fairly strongly in 1963, but with the labour force growing fast, there has been only a marginal decline in unemployment, from about 6 per cent in 1962, to a seasonally adjusted rate of 5.6 per cent in the third quarter of 1963.

TABLE 6. EMPLOYMENT AND UNEMPLOYMENT

Seasonally adjusted.

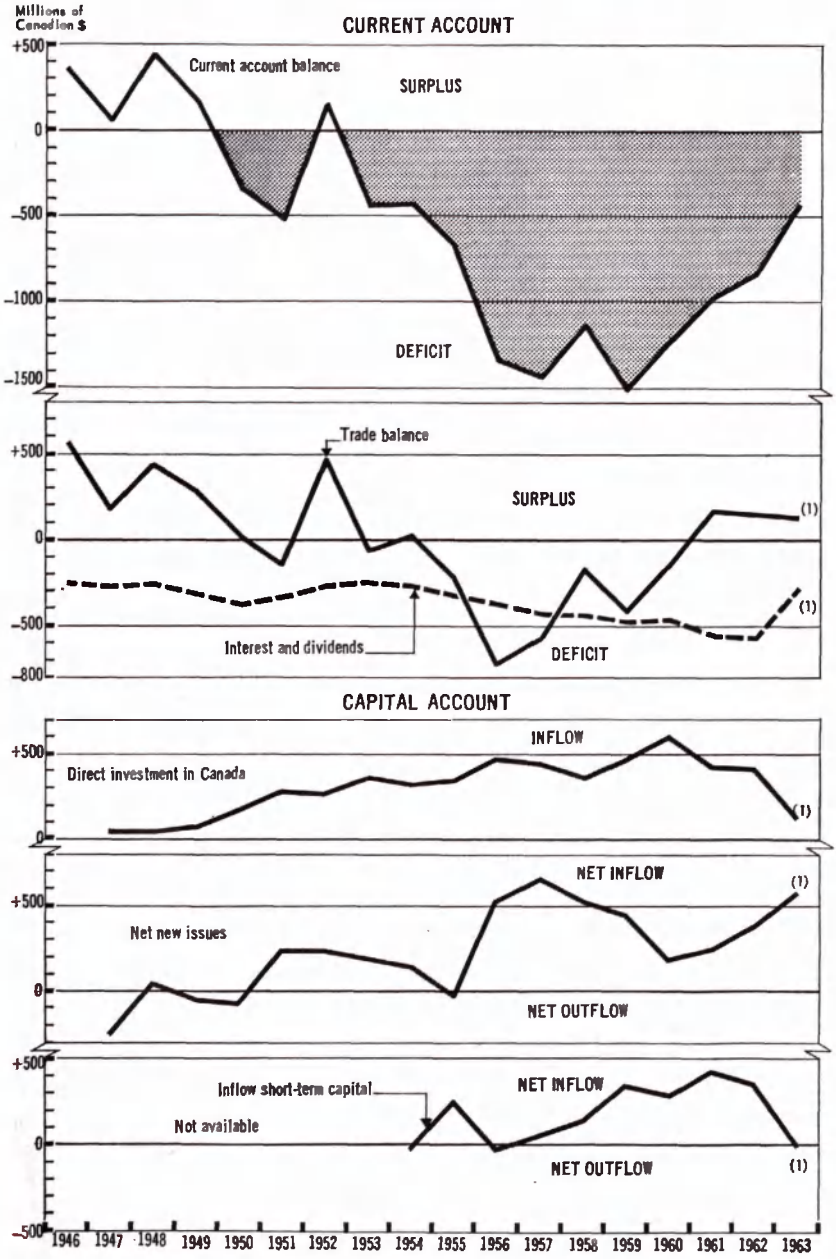
	1962		1963		
	III	IV	I	II	III
Employment *(thousands)*	6,341	6,215	6,250	6,314	6,393
Unemployment *(percentages)*	6.0	5.9	5.7	5.7	5.6

Source: **Dominion Bureau of Statistics.**

39. There is reason to believe that the expansion will continue in the months ahead. The mid-year investment survey in 1963 pointed to a 9 per cent increase in value in plant and equipment outlays between 1962 and 1963, implying a 9 to 10 per cent increase between the first and the second halves of 1963, and residential construction should also increase somewhat. The large wheat sales to the Soviet Union and certain other countries should also give a certain boost to the economy; the U.S.S.R. grain contract is for $500 million, and another $33 million worth of wheat is to be sold to Bulgaria; these contracts are in addition to those with China and Japan and other countries. The prospect of faster expansion in the United States should strengthen business confidence in Canada.

40. The impact of the wheat sales on home demand is likely to

Graph 4. BALANCE OF PAYMENTS 1946-1963



1. Including changes in Canadian dollar holdings of foreigners.

Sources: Dominion Bureau of Statistics.

be substantial. Some additional employment will be involved, but more important will be the effect on spending decisions in western Canada in 1964. However, the spacing-out of payments over three calendar years means that the increased flow of income to farmers in 1964 will be considerably smaller than the total value of the transaction.

Balance of Payments

41. The balance of payments has improved considerably. The current account deficit fell from $982 million in 1961 to $848 million in 1962, and is not expected to be much over $500 million in 1963. On a year-to-year comparison, the improvement could be ascribed very largely to a decline in net services payments in 1962, and to a better merchandise balance in 1963. However, the trade balance improved considerably during the later months of 1962, and the first three quarters of 1963 showed no further improvement, although, here again, the imposition and subsequent removal of surcharges influenced the figures. In the first half of 1963, the capital inflow exceeded the current deficit, and the gold and foreign exchange reserves rose by $177 million of wich $135 million were accounted for by the delivery

Table 7. BALANCE OF PAYMENTS ON CURRENT ACCOUNT

Millions of dollars.

	1962				1963		
	I	II	III	IV	I	II	III
Current Account:							
Merchandise trade	— 7	— 45	69	138	69	76	135
Non-merchandise transactions	— 326	— 317	— 103	— 257	— 313	— 263	— 127
Deficit: not seasonally adjusted	— 333	— 362	— 34	— 119	— 244	— 187	+ 8
seasonally adjusted	— 276	— 237	— 227	— 120	— 159	— 80	— 193

Source: Dominion Bureau of Statistics.

of the second tranche of the Government of Canada loan floated in New York in September 1962. During the third quarter, the reserves fell by $133 million, of which $86 million represented a repayment to the I.M.F. in July. They rose again in October and November. Expressed in United States dollars, Canada's reserves stood at over $2.6 billion at the end of November 1963, practically the same level as at the end of 1962, but some $500 million higher than before the June 1962 confidence crisis, including $220 million still outstanding from the I.M.F. drawing in that month.

42. The expansion of merchandise exports, though irregular, continued in 1963; the first nine months showed an increase of 8 per cent over the corresponding period of 1962 with exports of manufactured goods running at a level of about 15 per cent higher. Merchandise imports, following some decline in the fourth quarter of 1962, have also risen in 1963, influenced by stronger expansion at home (see diagram) and by the progressive removal of the June 1962 import surcharges which was completed by 1st April, 1963.

43. The significant improvement of the current foreign balance over the last eighteen months can mainly be ascribed to the improvement in the competitive position of Canadian industry, resulting both from the devaluation and from the more moderate rise in costs in Canada than in most European countries. The devaluation has not only affected merchandise trade, but has had a favourable influence on the invisible balance—particularly the tourist account aided by the reduction in the duty-free exemption limit. The improvement in the current balance may also have been helped by the trade expansion programme, the extended financing arrangements for exports, and the somewhat more vigorous expansion in the United States in 1963.

44. Receipts of capital, at $608 million, were particularly heavy during the first half of the year, practically all of them coming from the United States. The net inflow of long-term capital amount to $579 million. Short-term capital showed a small net inflow of $29 million, in marked contrast to the big inflow after the June 1962 emergency programme, when very large amounts were received as speculative positions were reversed and advantage was taken of high interest rates. In the third quarter of 1963, the inflow of long-term capital fell to $28 million whilst there was a net outflow of $95 million of capital in short-term forms.

45. Long-term borrowing in the United States had been resumed in September 1962, when the Canadian Government made a private placing of $250 million of bonds in New York. Early in the new year, the Province of Quebec arranged to borrow $300 million in the United States in connection with the nationalisation of the hydro-electric industry. Altogether $733 million worth of new issues of Canadian bonds were sold to United States residents during the second half of 1962 and a further $663 million during the first half of 1963. Actual receipts from these sales were higher in 1963, however, as the major part of the issues contracted for in 1962 were not delivered until the following year. Thus receipts from gross new issues of securities in the United States were $445 million in the second half of 1962, but reached $766 million during the next six months. In the third quarter they fell to $94 million. An off-setting item to deliveries of new issues in the first half of the year was the heavy retirement ($230 million) of outstanding Canadian securities

belonging to non-residents, most of it in connection with the Quebec nationalisation.

TABLE 8. BALANCE OF PAYMENT ON CAPITAL ACCOUNT

Millions of dollars.

	1962				1963		
	I	II	III	IV	I	II	III
Direct investment (net)	80	50	130	165	50	15	30
Portfolio investment :							
a) Canadian securities:							
— Trade in outstanding securities	— 17	— 40	13	— 8	— 34	— 13	— 34
— New issues	53	194	85	386	410	391	98
— Retirements	— 72	— 71	— 53	— 125	— 53	— 175	— 33
b) Foreign securities (net)	— 29	— 36	— 9	— 5	4	12	— 4
Government loans		7	61	51	—	6	— 8
Other capital movement[1]	— 59	— 376	493	133	— 67	62	— 116
Total	— 41	— 272	720	597	310	298	— 67

1. Induding changes in Canadian dollar holdings of foreigners.

Source : Dominion Bureau of Statistics.

46. The current external deficit should show some further decline in the second half of 1963 and in 1964. The improvement is likely to result from higher wheat sales; but some fall in the trade deficit in other goods may, perhaps, be hoped for in 1964 in particular if growth in the United States becomes more rapid. The Russian wheat contract has, obviously, to be seen as an exceptional transaction which does not dispense with the need for vigorous readjustment policies.

47. Prospects for the capital account are rendered somewhat uncertain by the United States Equalization Tax proposal. It is reported that there has been virtually no new long-term borrowing in New York since the tax was proposed in July, despite the announcement that the United States Government was proposing to exempt new Canadian issues from the tax. A decline in Canadian borrowing from the high levels reached late in 1962 and early in 1963 was in any case to be expected, and when borrowing is resumed it will no doubt be at a lower level. The impact of the United States tax proposals upon trade in outstanding issues of securities, which are not to be exempted from the tax, may, however, be of considerable importance. A small percentage change in gross receipts could have a considerable impact upon the net portfolio position.

V. CONCLUSIONS

48. The Canadian authorities aim at a progressive reduction in the current external deficit which, at the size experienced in recent years, was clearly anomalous for a developed economy—particularly one in which there persisted considerable internal slack. The recent devaluation, and maintenance of reasonable price stability, are key elements in the strategy to this end. Conservation of the price and cost stability that has marked the recent years of slack will pose increasingly difficult problems of social and economic policy as existing resources become more fully employed—problems to which no standard approach applicable to all countries exists. The functioning of the new Economic Council of Canada should prove useful in this regard. Whether further action will prove desirable will be judged in the light of how Canada's cost and price experience in the next year or so compares with those of other industrialised countries.

49. Although it is most likely that the greater part of the reduction in Canada's current external deficit will have to be with the United States, this will not worsen the balance of payments problem of the United States if it is accompanied by a fall of commensurate magnitude in net Canadian borrowing. However, at the present time, the biggest improvement is taking place in trade with eastern countries following exceptionally heavy wheat exports.

50. But even though the overall balance of Canada with the United States need not change, efforts to reduce the current account deficit with the world as a whole are likely to have repercussions on the structure of the Canadian-United States balance of payments. Canada at present has a large merchandise deficit with the United States and a somewhat larger surplus with other countries. It is unlikely that increases in the latter will be sufficient to solve Canada's problem; some reduction in the trade deficit with the United States would seem a *sine qua non* if Canada is to approach current account equilibrium. Since the balance on current invisible items may, if anything, deteriorate further in the next few years—with interest and dividend payments rising faster than tourist receipts—Canada may need to improve her merchandise trade account by more than $500 million if current balance is to be reached.

51. While the growth rate of the Canadian economy has recently shown improvement, the level of activity remains unsatisfactory. Given high wheat exports and rapid growth in the United States, 1964 should witness further growth, although the extent to which this reduces unemployment will depend in part upon the rate of growth of the labour force. The latter has been high on the average in recent years, but variations from one year to another have been quite sharp. The time may come when the Canadian authorities would wish to inject a more direct stimulus to domestic demand.

At that stage, given the inevitable limitations on the conduct of an independent monetary policy, the main burden of demand management would probably fall on budgetary policy, and it may not be too early now to start considering how the Federal budget might be made into a more efficient policy instrument. Budget structures, and the institutional framework within which budgetary policies operate, reflect the particular social and political conditions prevailing in individual countries, and change is usually slow. In the case of Canada, the interests of demand management may require some greater flexibility of the Federal budget on both the expenditure and the revenue side; one important limiting factor may be the division of responsibility between the Federal Government and the provinces.

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STATISTICAL ANNEX

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Table 1. GROSS NATIONAL PRODUCT AND EXPENDITURE

Annual figures and annual rates, seasonally adjusted

Millions of Canadian dollars.

	Personal comsuption expenditure	Business gross fixed capital formation				Value of physical change in inventories	Government expenditure on goods and ervices	Exports of goods and services	Imports of goods and services	Residual error	Gross national product at market prices
		Total	Residential construction	Non-residential contruction	Machinery and equipment						
Current prices											
1959	22,591	6,894	1,734	2,589	2,571	357	6,490	6,683	8,131	+ 31	34,915
1960	23,512	6,692	1,443	2,577	2,672	361	6,755	7,008	8,172	+ 98	36,254
1961	24,486	6,635	1,458	2,683	2,494	— 144	7,205	7,631	8,542	+ 150	37,421
1962	25,749	6,954	1,577	2,668	2,709	+ 565	7,721	8,224	9,033	+ 221	40,401
1962 1st quarter	25,540	6,888	1,536	2,756	2,596	+ 384	7,384	7,940	8,972	+ 384	39,548
2nd quarter	25,592	6,860	1,564	2,676	2,620	+ 360	7,900	8,272	9,176	+ 240	40,048
3rd quarter	25,696	7,016	1,616	2,588	2,812	+1,016	7,824	8,248	9,144	+ 100	40,756
4th quarter	26,168	7,052	1,592	2,652	2,808	+ 500	7,776	8,436	8,840	+ 160	41,252
1963 1st quarter	26,644	7,056	1,564	2,684	2,808	+ 508	8,128	8,480	9,052	+ 244	41,988
2nd quarter	26,824	7,268	1,640	2,772	2,856	+ 400	8,152	8,976	9,312	+ 144	42,452
3rd quarter	27,388	7,376	1,648	2,720	3,008	+ 600	8,244	8,924	9,672	+ 156	43,016
Constant (1957) prices											
1959	21,711	6,562	1,633	2,473	2,456	+ 338	6,205	6,610	8,058	+ 30	33,398
1960	22,357	6,231	1,323	2,404	2,504	+ 345	6,255	6,884	8,020	+ 92	34,144
1961	23,070	6,122	1,328	2,493	2,301	— 143	6,544	7,402	8,112	+ 140	35,023
1962	23,915	6,257	1,397	2,430	2,430	+ 549	6,761	7,729	8,219	+ 203	37,195
1962 1st quarter	23,912	6,286	1,376	2,532	2,360	+ 416	6,544	7,536	8,248	+ 356	36,784
2nd quarter	23,828	6,192	1,392	2,440	2,360	+ 396	6,948	7,776	8,332	+ 220	37,028
3rd quarter	23,784	6,284	1,424	2,352	2,508	+ 960	6,836	7,724	8,288	+ 92	37,392
4th quarter	24,136	6,284	1,396	2,396	2,492	+ 424	6,716	7,880	8,008	+ 144	37,576
1963 1st quarter	24,536	6,256	1,364	2,404	2,488	+ 480	6,924	7,888	8,112	+ 204	38,176
2nd quarter	24,608	6,420	1,420	2,476	2,524	+ 364	6,844	8,380	8,308	+ 132	38,440
3rd quarter	24,968	6,436	1,420	2,404	2,612	+ 588	6,900	8,280	8,528	+ 140	38,784

Source: National Accounts Income and Expenditure, Dominion Bureau of Statistics.

TABLE II. INDUSTRIAL PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

SEASONALLY ADJUSTED

	1960	1961	1962	1962 1st quarter	1962 2nd quarter	1962 3rd quarter	1962 4th quarter	1963 1st quarter	1963 2nd quarter	1963 3rd quarter
1. INDICES OF INDUSTRIAL PRODUCTION *(1953 = 100)* :										
All industries	130	134	144	141	143	146	147	148	151	151
Mining	178	188	202	197	202	205	204	205	209	207
Manufacturing—durables	110	111	124	118	122	126	128	129	130	130
—non-durables	126	131	137	135	138	138	138	140	143	144
2. NEW RESIDENTIAL CONSTRUCTION *(thousands)* :										
Starts	109	126	130	130	134	130	126	135	137	144
Completions	124	116	127	128	121	126	132	119	140	129
3. EMPLOYMENT AND UNEMPLOYMENT :										
Civilian labour force *(thousands)*	6,403	6,518	6,608	6,555	6,626	6,638	6,616	6,628	6,698	6,773
Non-agricultural employment *(thousands)*	5,280	5,375	5,564	5,496	5,591	5,614	5,569	5,607	5,674	5,781
Employment indices (1953 = 100):										
Mining	108	105	105	105	106	106	104	104	103	103
Manufacturing — Durables	91	90	93	93	94	95	96	97	98	98
— Non-durables	103	103	106	105	106	106	106	107	108	108
Construction	106	103	105	106	106	104	105	107	104	103
Unemployment (including workers on temporary lay-off) *(thousands)*	448	469	391	394	385	397	390	379	383	380
Unemployment *(percentage of civilian labour force)*	7.0	7.2	6.0	6.0	5.8	6.0	5.9	5.7	5.7	5.6
Average hours worked in manufacturing, number per week	40.4	40.6	40.7	40.8	40.9	40.7	40.7	40.8	41.0	40.6
4. RETAIL SALES INDEX *(1953 = 100)*	136	138	145	142	144	144	148	149	149	152
5. ORDERS AND INVENTORIES IN MANUFACTURING										
New orders received *(1958 = 100)*	105	113	123	120	123	123	124	128	129	132
Orders on hand, end of period	89	91	99	103	106	106	103	103	104	114
Total inventories *(millions of dollars end of period)*	4,278	4,427	4,619	4,453	4,486	4,607	4,604	4,604	4,653	4,700

Source: Canadian Statistical Review (D.B.S.), Bank of Canada Statistical Summary, O.E.C.D. General Statistics.

TABLE III. FINANCIAL STATISTICS

	1960	1961	1962	1962 1st QUARTER	1962 2nd QUARTER	1962 d QUARTER	1962 4th QUARTER	1963 1st QUARTER	1963 2nd QUARTER	1963 3rd QUARTER
1. PRICES *(1953 = 100)*										
Consumer prices,—all items	111	112	113	112	113	114	114	114	115	116
—food	108	110	112	111	111	113	113	115	114	117
Wholesale prices,—general	105	106	109	107	108	110	110	110	111	111
—raw materials and semi-manufactures	101	103	108	106	108	109	109	109	110	110
—manufactured products	106	107	109	108	108	110	110	110	111	112
—farm products	102	104	106	105	107	108	104	101	100	102
2. WAGES AND PROFITS:										
Hourly earnings in manufacturing *(Canadian cents)*	178	183	188	187	189	187	191	192	195	194
Corporation profits before tax *(Million dollars, qtrly rates or figures)*	819	865	956	930	959	943	992	996	1,030	1'007
3. BANKING: *(Million dollars end of period)*										
Chartered Banks:										
Deposits	12,921	14,186	14,699	13,886	14,325	13,683	14,699	14,112	14,750	15,107
of which, personal savings deposits	7,215	7,618	7,932	7,899	7,993	8,119	7,932	8,234	8,364	8,605
Liquid assets	2,081	2,345	2,362	2,451	2,286	2,205	2,503	2,555	2,645	2,527
Liquid asset ratio (%)	17.27	18.31	17.10	17.99	16.05	16.12	18.09	18.30	18.50	17.24
Holdings of Govt. of Canada direct and guaranteed bonds	2,088	2,639	2,241	2,717	2,464	1,904	2,241	2,327	2,475	2,535
Loans	6,534	6,880	7,701	7,021	7,743	7,884	7,702	7,584	7,794	7,912
Currency outside banks	1,876	1,959	1,994	1,945	2,025	2,032	1,994	2,020	2,093	2,051
4. INTEREST RATES:										
3-month Treasury Bill yield *(end-period)*	3.25	2.99	3.91	3.12	5.45	4.99	3.91	3.62	3.24	3.56
Govt. of Canada 3¾ per cent 1975-78 bonds yield	5.26	5.08	5.09	4.95	4.91	5.40	5.11	5.08	4.93	5.14
5. MISCELLANEOUS:										
National Housing Act Mortgage Loans *(Million dollars)*	410	724	584	114	205	150	114	111	184	140
Industrial share prices *(1953 = 100)*	174	221	213	235	216	198	204	221	233	226
Security issues ..... *(Million dollars)*	1,925	2,584	2,607	253	332	124	1,897	329	939	34
of which: Govt., provincial and municipal	1,372	2,033	1,679	121	—33	69	1,521	139	743	—35
Corporate bonds .....".....	304	325	421	44	230	—4	150	50	420	—1
Corporate stock .....".....	220	248	337	45	100	34	158	45	—280	105

1. End of August.

Source: Canadian Statistical Review (D.B.S.), Bank of Canada Statistical Summary, O.E.C.D. General Statistics.

TABLE IV. GOVERNMENT REVENUE AND EXPENDITURE 1959-1963

Millions of dollars.

	FEDERAL GOVERNMENT					PROVINCIAL AND MUNICIPAL GOVERNMENTS				
	1959	1960	1961	1962	1963[1]	1959	1960	1961	1962	1963[1]
Tax revenue	5,279	5,560	5,749	5,941	6,047	2,928	3,147	3,460	4,200	4,547
Contributions to social insurance and government funds	414	482	510	518	529	238	263	277	298	315
Investment income	350	384	409	448	497	648	669	721	763	809
Transfers from Federal Government	—	—	—	—	—	880	994	1,128	1,136	1,172
Total Revenue	6,043	6,426	6,668	6,907	7,073	4,694	5,073	5,586	6,397	6,843
Expenditure on goods and services	2,832	2,725	2,974	3,008	2,989	3,658	4,030	4,231	4,713	5,185
Transfer payments to persons and subsidies	1,980	2,189	2,236	2,382	2,425	980	1,176	1,426	1,561	1,687
Transfers to other levels of government	880	994	1,128	1,136	1,172	—	—	—	—	—
Interest on public debt	678	756	783	855	867	285	340	381	419	468
Total Expenditure	6,370	6,664	7,121	7,381	7,453	4,923	5,546	6,038	6,693	7,340
Deficit	327	238	453	474	380	229	473	452	296	497

1. Ist nine months seasonally adj. annual rates.

Source: National Accounts, Income and Expenditure, D.B.S.

Table V. FOREIGN TRADE AND PAYMENTS

	1960	1961	1962	1962				1963		
				I	II	III	IV	I	II	III
Imports: *(Millions of dollars)* :										
Fuels and raw materials	1,933	2,025	2,214	492	572	579	571	489	590	
Investment goods	1,675	1,824	1,981	518	538	480	444	463	533	
Consumer goods	1,829	1,866	2,004	449	549	475	530	448	555	
Total[1]	5,483	5,771	6,258	1,470	1,677	1,549	1,562	1,414	1,697	1,658
of which: from United States	3,687	3,864	4,300	1,057	1,162	1,038	1,043	1,031	1,158	1,087
Exports: *(Millions of dollars)*										
Farm and fish products	1,018	1,301	1,264	284	329	267	385	290	334	317
Forest products	1,587	1,623	1,701	379	440	432	451	391	449	499
Metals and minerals	1,814	1,861	2,063	421	530	589	523	453	574	595
Other	838	970	1,150	269	280	279	323	308	344	312
Total[2]	5,387	5,896	6,348	1,395	1,618	1,608	1,726	1,487	1,747	1,767
of which: to United States	2,036	3,217	3,745	857	949	961	978	879	1,006	1,010
Visible trade balance (on payments basis.)	— 148	+ 173	+ 155	— 7	— 45	+ 69	+138	+ 69	+ 76	+135
Volume of imports *(1953 = 100)*	122	124	129	123	137	127	128	115	136	
Volume of exports "	124	134	140	124	142	140	151	129	150	153
Import prices "	106	109	114	113	115	115	114	116	118	
Export prices "	104	105	108	107	109	109	109	109	109	109
Balance of Payments *(Millions of dollars)* :										
Current balance	—1,243	— 982	— 848	—333	—362	— 34	—119	—244	—187	+ 8
of which: with United States	—1,361	—1,386	—1,116	—343	—425	— 66	—282	—350	—334	— 69
Direct investment in Canada	+ 650	+ 515	+ 525	+110	+ 80	+145	+190	+ 70	+ 40	+ 45
Portfolio investment	+ 217	+ 306	+ 266	— 65	+ 47	+ 36	+248	+327	+215	+ 27
Other capital movements	+ 337	+ 451	+ 215	— 86	+399	+539	—159	— 87	+ 43	—139
Official holding of gold and U.S. dollars	1,829	2,056	2,539	1,709	1,809	2,445	2,539	2,600	2,692	2,568
U.S. dollar exchange rate, Canadian cents per dollar	96,97	101.32	106.89	104.77	107.33	107.78	107,63	107.76	107.74	108.08

1. Including special items.
2. Including reexports.

Source: Bank of Canada Statistical Summary, O.E.C.D. General Statistics.

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